

IN THE UNITED STATES DISTRICT COURT  
FOR THE DISTRICT OF COLORADO

Civil Action No. \_\_\_\_\_

WELLS FARGO INSURANCE SERVICES  
USA, INC.,

Plaintiff,

v.

GLENN W. MCQUATE,  
PAUL PROUTY, and MARY WONG,

Defendants.

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**VERIFIED COMPLAINT**

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Plaintiff, Wells Fargo Insurance Services USA, Inc. (“Wells Fargo”), by its attorneys, Jackson Lewis P.C., files this Complaint against Defendants, Glenn W. McQuate (“McQuate”), Paul Prouty (“Prouty”), and Mary Wong (“Wong”), and alleges as follows:

INTRODUCTION

1. This is an action asserting various common law and statutory claims, including breach of contract, breach of duty of loyalty, misappropriation of trade secrets, unfair competition, conversion, interference with prospective economic advantage, intentional interference with contractual relations, and civil conspiracy. It arises out of Defendants’ (A) secretly organized and concerted departure *en masse* from their employment as Wells Fargo insurance brokers in the niche industry of mining insurance, (B) reemployment by a direct competitor (including opening and leading the employer’s new Denver, Colorado Denver), and (C) misappropriation of Wells Fargo’s trade secrets to induce Wells Fargo’s accounts (and

prospective clients) to become clients of Defendants' new employer in violation of common law, statutory, and contractual obligations.

2. Further, Defendants' planned their exodus for a time when many accounts' insurance coverages were expiring and Defendants had not shared – and took with them – the institutional knowledge regarding the status, pricings, and underwriting strategies Wells Fargo was pursuing to secure continued coverages for those accounts, as well as other fact specific information necessary to finalize those upcoming transactions. Immediately following Defendants' departure *en masse*, Wells Fargo mining insurance accounts with which Defendants worked began changing their "Broker of Record", which required Wells Fargo transfer the accounts' mining insurance business to Defendants' new employer – all at a time when their policies were expiring and up for renew. On information and belief, Defendants induced those Wells Fargo mining insurance accounts to change their "Broker of Record" through the inappropriate use of Wells Fargo's non-public, valuable information. As a result, Wells Fargo seeks compensation and an injunction.

### PARTIES

3. Plaintiff Wells Fargo is a North Carolina corporation that maintains its principal place of business at 301 South College, Charlotte, North Carolina and its corporate headquarters at 150 North Michigan Avenue, Suite 3900, Chicago, Illinois.

4. Wells Fargo is authorized to and does transact business in Colorado. Wells Fargo is not a citizen of Colorado for purposes of jurisdiction under 28 U.S.C. §1332 given that it is incorporated and maintains both its principle place of business and corporate headquarters in states other than Colorado.

5. Defendant McQuate, a former Wells Fargo employee, is a citizen of Colorado, residing at 7964 E. 51<sup>st</sup> Ave., Denver, Colorado, 80238.

6. Defendant Prouty, a former Wells Fargo employee, is a citizen of Colorado, residing at 2523 Thunderbird Lane, Evergreen, Colorado, 80439.

7. Defendant Wong, a former Wells Fargo employee, is a citizen of Colorado, residing at 4725 Shoshone Drive, Larkspur, Colorado, 80118.

8. This Court has personal jurisdiction over McQuate, Prouty, and Wong as each resides in Colorado, each did business in the State of Colorado at all times material to this action, each purposefully availed himself/herself of the rights and privileges of the State of Colorado at all times material to this action, and each committed the wrongful acts and omissions described in this Complaint, with resulting injury, damages, loss, and other consequences, in the State of Colorado.

#### SUBJECT MATTER JURISDICTION AND VENUE

9. This Court has subject matter jurisdiction over this matter pursuant to 28 U.S.C. §1332 because there is complete diversity of citizenship between the parties and the amount in controversy exceeds the sum or value of \$75,000.00, exclusive of interest and costs.

10. Venue is appropriate in this judicial district pursuant to 28 U.S.C. §1391(a) because McQuate, Prouty, and Wong each resides in Colorado and because a substantial part of the events or omissions giving rise to the claims occurred in Colorado.

## GENERAL ALLEGATIONS

### Wells Fargo's Business and Defendants' Roles in the Business

11. Wells Fargo is engaged in the business of identifying the insurance needs of its business clients and designing, procuring, and servicing custom insurance coverages and risk management structures to meet those needs. Wells Fargo's business lines include procuring insurance policies related to directors' and officers' liability, financial institutions, aviation, hospitality, gaming, construction, restaurant, and energy, including—as applicable here—mining. Wells Fargo does not underwrite the insurance policies its clients purchase, but instead has relationships with multiple insurance underwriters and brokers the insurance coverages and terms its clients desire to satisfy their individualized risk strategies.

12. McQuate, Prouty, and Wong comprised the vast majority of Wells Fargo's mining insurance business. Defendants were responsible for approximately 25 accounts with annual revenues totaling more than two million dollars. Conservatively, McQuate's, Prouty's, and Wong's portfolios comprised approximately 80% of Wells Fargo's mining insurance business. Defendants all performed their job duties out of Wells Fargo's Denver, Colorado office.

13. McQuate began his career with Acordia of West Virginia, Inc. ("Acordia"), which subsequently changes its name to Wells Fargo Insurance Services USA, Inc. Effective January 1, 1995, McQuate entered into an Employment Agreement, a true and correct copy of which is attached hereto as Exhibit A. As a part of this acquisition, Wells Fargo became Acordia's successor-in-interest under McQuate's Employment Agreement.

14. McQuate remained employed with Wells Fargo without interruption until August 22, 2014, when he resigned abruptly and in unison with Prouty and Wong. At the time

of his resignation, McQuate held the position of Senior Sales Executive. He reported to Jon Lindstrom, Managing Director.

15. As Senior Sales Executive, McQuate was responsible for all aspects of current account servicing and new account development, including identifying prospective clients, developing sales leads, understanding the insurance needs and risk profiles of prospective and current clients, developing relationships with insurance underwriters, negotiating insurance policies on behalf of current and prospective clients with underwriters, and managing the relationships with current and prospective clients. McQuate performed these job duties with a very high level of autonomy. In addition, McQuate, along with Prouty and Wong, supervised and managed other Wells Fargo employees whose job duties included servicing the accounts of current clients. McQuate was responsible for developing and maintaining, including approximately two account executives, two account representatives, and two claims advocates. As a part of his supervisory responsibility, McQuate provided input for the performance reviews of the employees he supervised. While Mr. Lindstrom was McQuate's supervisor, McQuate did not report or require approval for his substantive actions or decisions regarding the performance of his job duties; Mr. Lindstrom's supervision and input was limited to monitoring overall revenues and expenses and participating in periodic meetings regarding progress toward sales goals. Due to his experience, job responsibilities, and autonomy, Wells Fargo paid McQuate approximately \$275,000 per year, which is more than the average non-validated sales executive salary of approximately \$125,000.

16. Prouty was employed with Wells Fargo from May 13, 2013 until August 22, 2014, when he resigned abruptly in unison with McQuate and Wong. A true and correct copy of Prouty's May 13, 2013 Agreement Regarding Trade Secrets, Confidential

Information, Non-Solicitation, And Assignment Of Inventions is attached hereto as Exhibit B. At the time of his resignation, Prouty held the position of Sales Executive. He reported to Jon Lindstrom, Managing Director.

17. Before working for Wells Fargo, Prouty worked as a Risk Manager for Newmont Mining Corporation and as an insurance producer for Jardine Lloyd Thompson Group, one of the world's largest providers of insurance and reinsurance services. This prior experience permitted Prouty to both understand the risks of current and prospective mining clients and to strategically address them with an individualized insurance coverage structure.

18. As Sales Executive for Wells Fargo, Prouty was responsible for all aspects of current account servicing and new account development, including identifying prospective clients, developing sales leads, understanding the insurance needs and risk profiles of prospective and current clients, developing relationships with insurance underwriters, negotiating insurance policies on behalf of current and prospective clients with underwriters, and managing the relationships with current and prospective clients. Prouty performed these job duties with a very high level of autonomy. In addition, Prouty, along with McQuate and Wong, supervised and managed other Wells Fargo employees whose job duties included servicing the accounts of current clients Prouty was responsible for developing and maintaining, including approximately two account executives, two account representatives, and two claims advocates. As a part of his supervisory responsibility, Prouty provided input for the performance reviews of the employees he supervised. While Mr. Lindstrom was Prouty's supervisor, Prouty did not report or require approval for his substantive actions or decisions regarding the performance of his job duties; Mr. Lindstrom's supervision and input was limited to monitoring overall revenues and expenses and participating in periodic meetings regarding progress toward sales goals. Due to his experience,

job responsibilities, and autonomy, Wells Fargo paid Prouty approximately \$225,000 per year, which is far in excess of the salary of other recently hired Wells Fargo Sales Executives, who earn approximately \$100,000 to \$125,000 per year.

19. Wong was employed with Wells Fargo from January 1, 2012 until August 22, 2014, when she resigned abruptly in unison with McQuate and Prouty. A true and correct copy of Wong's Agreement Regarding Trade Secrets, Confidential Information, Non-Solicitation, And Assignment Of Inventions is attached hereto as Exhibit C. At the time of her resignation, Wong held the position of Insurance Practice Lead, Energy and Mining. She reported to Jon Lindstrom, Managing Director.

20. Before joining Wells Fargo, Wong was a risk manager at a large mining company. This experience provided her with unique insight and an ability to quickly understand the complex needs and risk profiles of current and potential mining, energy, and other clients whose risks involve geologic expertise and uncertainties.

21. As Insurance Practice Lead, Energy and Mining for Wells Fargo, Wong was responsible for all aspects of current account servicing and new account development, including identifying prospective clients, developing sales leads, understanding the insurance needs and risk profiles of prospective and current clients, developing relationships with insurance underwriters, negotiating insurance policies on behalf of current and prospective clients with underwriters, and managing the relationships with current and prospective clients, and consulting on policies, coverages, and risk profiles of all complicated mining and energy insurance accounts (and prospective accounts) across the Company's insurance lines. Wong was involved in and/or consulted regarding the analysis and review of approximately 90% of Wells Fargo's mining insurance coverages and approximately 40%-50% of Wells Fargo's energy

insurance coverages. Wong performed these job duties with a very high level of autonomy. In addition, Wong, along with McQuate and Prouty, supervised and managed other Wells Fargo employees whose job duties included servicing the accounts of current clients Wong was responsible for developing and maintaining, including approximately two account executives, two account representatives, and two claims advocates. As a part of her supervisory responsibility, Wong provided input for the performance reviews of the employees she supervised. While Mr. Lindstrom was Wong's supervisor, Wong did not report or require approval for her substantive actions or decisions regarding the performance of her job duties; Mr. Lindstrom's supervision and input was limited to monitoring overall revenues and expenses and participating in periodic meetings regarding progress toward sales goals. Due to her experience, job responsibilities, and autonomy, Wells Fargo paid Wong approximately \$200,000 per year, which is more than the approximately \$150,000 average salary earned by other Insurance Practice Leads.

Wells Fargo's Confidential Information and Trade Secrets Are Its Lifeblood

22. The lifeblood of Wells Fargo's business is its proprietary client information ("Confidential Information and Trade Secrets"). Wells Fargo's Confidential Information and Trade Secrets permits it to understand its client (and prospective client) risk profiles, to structure competitive coverages, limits, and deductibles, and to understand client needs. Its decisions are not based on simple models; rather they are individualized decisions based on nonpublic, confidential, and highly valuable competitive information.

23. Wells Fargo's Confidential Information and Trade Secrets primarily falls into two categories: (1) nonpublic and valuable information regarding current clients; and (2) nonpublic and valuable information regarding prospective clients. For current clients, this



confidential and highly valuable competitive information includes client preferences and existing individualized insurance structures, current coverage limits and deductibles, the timing of current payment obligations, the existence and extent of multiple layers of insurance policies addressing the same or similar risks, client specific (and potentially unconventional) policy provisions, renewal dates, historic information regarding insurance preferences, purchases, trends, and claims, and nonpublic contact information (including the identity and contact information of key decision makers). In addition, Wells Fargo has developed a significant and lucrative pipeline of prospective clients by leveraging the client relationships of its banking affiliates to identify and gather information regarding prospective customers for niche insurance products. This confidential and valuable information includes revenues and expenses of current banking clients, nonpublic information regarding key decision makers (including contact information and personal preferences), the existence and size of credit lines, and information regarding banking clients' current insurance carriers, policies, limits, risk profile, and risk management strategies. To assist in client development, Wells Fargo also utilizes the private and password protected services of Salesforce.com to permit its insurance producers to memorialize, track, and update notes regarding nonpublic information regarding prospective client preferences, key leads, risk profiles, current coverages, risk management strategies, the status of communications and negotiations regarding insurance products, and other commercially valuable information. The Confidential Information and Trade Secrets described in this paragraph are highly confidential and provide Wells Fargo a distinct competitive advantage.

24. While with Wells Fargo, among other things, Defendants had access to and utilized substantial Confidential Information and Trade Secrets, including but not limited to all items identified in Paragraph 22 above. In addition, Defendants received

monthly reports that list every current policy that will renew within 120 days. These reports highlight Wells Fargo's expiring accounts, and conveniently summarized certain Confidential Information and Trade Secrets regarding those accounts, including client, line of business, underlying insurance carrier, and renewal date.

25. The Confidential Information and Trade Secrets referenced in Paragraphs 21 through 24 is not publicly available or known, but it is critical to how Wells Fargo grows and manages its customer relationships. All of these Confidential Information and Trade Secrets are commercially valuable because they provides a roadmap for a competitor to target those mining enterprises who purchase Wells Fargo's insurance products and identifies key individuals at each customer who may facilitate sales and/or provide access to decision makers on purchasing decisions within those companies, including mining and other insurance products (many of which also are sold by Wells Fargo, such as Directors and Officers liability policies).

26. Wells Fargo also regularly provided Defendants with Confidential Information and Trade Secrets regarding its affiliates' banking customers to identify, target, and pursue additional mining insurance business from them. Representatives of Wells Fargo's banking affiliate would provide Confidential Information and Trade Secrets regarding potential business leads during bi-weekly telephone calls and monthly sales meetings, as well as upon Defendants' request. Wells Fargo has spent significant time and resources in developing this type of nonpublic information regarding its affiliates banking customers' relevant decision makers, preferences, insurance coverages, and risk profiles. Having access to Confidential Information and Trade Secrets of this sort permits Wells Fargo insurance producers (or competitors) to focus on prospective clients that are most likely to be in the market for specialty insurance (like mining insurance), to know the carriers, coverages, and costs associated with a

prospective client's current insurance situation, and to better position himself or herself to conclude a sale of this type of specialty insurance.

27. Wells Fargo derives substantial independent value from its Confidential Information and Trade Secrets not being known generally and not being ascertained readily by other persons and entities that could derive economic value from their disclosure or use.

28. Even utilizing all of the competitive advantages that its Confidential Information and Trade Secrets provide, it generally takes approximately eighteen (18) months for Wells Fargo insurance providers to conclude a sale of this type of specialty insurance. However, when a Wells Fargo insurance producer is able to leverage relationships of Wells Fargo affiliates, these types of insurance relationships and strategies can be implemented in approximately three (3) months.

29. Defendants' misappropriation of Wells Fargo's Confidential Information and Trade Secrets, which misappropriation and threatened misappropriation is described below, results in harm to Wells Fargo that is crippling in its immediate impact because it can instantly undo many months of work procuring the policies and years of work compiling such Confidential Information and Trade Secrets.

30. The long term effects of Defendants' misappropriation—and threatened continued misappropriation—are so devastating and incapable of precise measurement, that the harm caused by Defendants if they are not enjoined will be irreparable and not capable of remedy by monetary relief alone.

Wells Fargo Takes Reasonable Precautions to Protect the Secrecy of Its Trade Secrets

31. Wells Fargo has taken reasonable means to maintain the confidentiality and secrecy of its Confidential Information and Trade Secrets and to prevent competitors or would-be

competitors from obtaining an unfair advantage by obtaining this information. Among other things, Wells Fargo requires its representatives, such as Defendants, to sign confidentiality agreements. *See, e.g.*, Exhibits A, B, and C.

32. Wells Fargo has also implemented safeguards to protect its Confidential Information and Trade Secrets, including requiring unique identifiers for employees to access Confidential Information and Trade Secrets related to specific clients on whose accounts they work, implementing policies that “lock” computers when they are not in use, requiring key access to the office before and after regular business hours, utilizing technology that alerts managers when potentially sensitive information is included or contained in employee emails. Additionally, Wells Fargo electronic systems preclude employees from accessing Confidential Information and Trade Secrets regarding clients and prospective clients on whose accounts or prospective accounts they are not working. In addition, a unique user ID and password is necessary to access Wells Fargo’s proprietary and nonpublic information recorded through Salesforce.com.

33. Defendants were privy to Wells Fargo’s Confidential Information and Trade Secrets.

#### The Relevant Contractual Provisions

34. McQuate’s, Prouty’s, and Wong’s agreements expressly recognize that they will have access to Confidential Information and Trade Secrets as a part of their employment with Wells Fargo. See Exhibit A at pp. 3-5, Para. 8 (“Employee will be provided access to Employer’s client base and confidential information related to customer accounts, insurance needs and histories, information relating to policy expirations, insurance programs and the like; and Employer’s pricing structures, its costs, its proprietary marketing strategies, sales methodologies and other confidential business

information. Employee recognizes and acknowledges that such trade secrets and other business, financial or other confidential and/or proprietary information concerning Employer and/or its customers, clients and insureds, if used competitively against Employer, could result in material harm or disadvantage to Employer's business interests."); Exhibits B & C at § II ("During the course of my employment I will acquire knowledge of the Company's Trade Secrets and other proprietary information relating to its business, business methods, personnel, and customers (collectively referenced as "Confidential Information").).

35. In relevant part, under his Employment Agreement, McQuate agreed as follows:

**(a)** During and *following Employee's employment with Employer, Employee will not disclose* to any person or entity not associated with Employer *any business, financial or other confidential and/or proprietary information of Employer and/or its customers, clients or insureds.*

**(b)** During Employee's employment with [Employer], *Employee will promptly reveal to management of Employer all matters coming to Employee's attention pertaining to the business or interests of Employer.*

**(c)** Upon termination of Employee's employment with Employer, regardless of the reason for termination or whether the termination was initiated by Employer or by Employee, within three (3) days Employee shall deliver to Employer all data, manuals, lists, notes, writings, client lists, photographs, microfilm, tape-recordings, computer software and/or hardware, and all other documents or tangible materials whatsoever, including all copies or duplicates thereof, concerning the business or financial activities of Employer and/or its customers, clients or insureds. All such documents and tangible materials, and copies or duplicates thereof, are the sole property of Employer. Upon delivery of all such documents and tangible materials, and any and all copies and duplicates thereof, Employee shall certify in writing to Employer that all such documents and tangible materials have been returned and delivered to Employer and have not been further copied or disclosed to any person or entity not directly associated with Employer.

**(d)** For a period of two (2) years after Employee's employment relationship with Employer has terminated for any reason,

regardless of whether the termination was initiated by Employer or by Employee, ***Employee shall not***, on Employee's own behalf or on behalf of any other person, firm, corporation, association or other entity, either ***directly or indirectly, solicit, sell, service, create, manage or implement any kind of service or product offered by Employer to any person, company, firm or corporation: (1) who is a client, customer or insured of Employer at the time during Employee's employment with Employer is terminated; (2) who was a client, customer or insured of Employer at any time within the two (2) year period immediately preceding Employee's termination; or (3) whom Employee called upon while in the employ of Employer as a prospective client, customer or insured during the two (2) year period immediately preceding the termination of Employee's employment.***

(e) For a period of two (2) years after Employee's employment relationship with Employer has terminated for any reason, regardless of whether the termination was initiated by Employer or by Employee, ***Employee shall not***, on Employee's own behalf or on behalf of any other person, corporation or entity, either ***directly or indirectly, solicit, induce, recruit or cause another person in the employ of Employer to terminate his or her employment for the purpose of joining, associating or becoming an employee with any business which is in competition with any business or activity engaged in by Employer.***

Both Employer and Employee agree that this Agreement does not prohibit Employee from leaving Employer and working directly or indirectly for a competitor or from forming a business in the same industry, so long as Employee honors the terms and conditions of this Agreement.

See Exhibit A at pp. 3-5, ¶ 8 (emphasis added).

36. In relevant part under his Employment Agreement, McQuate also agreed "that, in the event that [he] breaches any of the covenants contained [in the Employment Agreement], Employer shall be entitled . . . to recover money damages, insofar as they can be determined, ***including, without limitation, all costs and attorneys' fees*** incurred by Employer in enforcing the provisions of this Agreement . . . to indemnify and hold harmless Employer from all costs and expenses incurred in the enforcement" of the Employment Agreement. *Id.* at p. 5, ¶ 8 (emphasis added).

37. In relevant part, under their respective Wells Fargo Agreement Regarding Trade Secrets, Confidential Information, Non-Solicitation, And Assignment Of Inventions, Prouty and Wong each agreed as follows:

I agree that any Confidential Information of the Company is to be used by me solely and exclusively for the purpose of conducting business on behalf of the Company. I am expected to keep such Confidential Information confidential and not to divulge, use or disclose this information except for that purpose. If I resign or am terminated from my employment for any reason, I agree to immediately return to the Company all Records and Confidential Information, including information maintained by me in my office, personal electronic devices, and/or at home.

\* \* \*

I agree that for a period of two (2) years immediately following termination or resignation of my employment for any reason, I will not do any of the following either directly or indirectly or through associates, agents, or employees:

- a. solicit, recruit or promote the solicitation or recruitment of any employee or consultant of the Company for the purpose of encouraging that employee or consultant to leave the company's employment or sever an agreement for services; or
- b. solicit, participate in or promote the solicitation of any of the Company's clients, customers, or prospective customers with whom I had Material Contact and/or regarding whom I received confidential information for the purpose of providing products or services that are in competition with the Company's products or services (Competitive Products/Services"). "Material Contact" means interaction between me and the customer, client or prospective customer within one (1) year prior to my last day as a team member which takes place to manage, service, or further the business relationship.

This two (2) year limitation is not intended to limit the Company's right to prevent misappropriation of its Confidential Information beyond the two (2) year period.

See Exhibits B and C, each at §§ II and III.

38. McQuate, Prouty, and Wong each expressly acknowledged that a breach of their confidentiality and non-solicitation agreements will irreparably harm and damage Wells Fargo and that money damages would not be adequate to remedy such harm. Exhibit A at p. 6, ¶ 8; Exhibits B & C at § VII. As a result, McQuate, Prouty, and Wong each agreed that Wells Fargo would be entitled to an injunction to prevent them from disclosing Confidential Information and Trade Secrets and from soliciting Wells Fargo clients and prospects. Exhibit A at p. 6, ¶ 8; Exhibits B & C at § VII.

McGriff, a Direct Competitor of Wells Fargo, Raided Wells Fargo's Mining Team to Gain Access to Wells Fargo's Confidential Information and Trade Secrets, and Defendants Have Misappropriated that Information and Also Engaged in Additional Misconduct that Violates Their Legal Obligations to Wells Fargo

39. On August 22, 2014, and without prior notice or warning, Defendants resigned *en masse* from Wells Fargo, including deleting the emails contained in each of their “deleted” files in violation of Wells Fargo policy. McQuate quit without notice notwithstanding that his Employment Agreement required him to provide 30 days’ prior written notice. See Exhibit A at p.2, ¶ 4. Defendants joined Wells Fargo’s direct competitor, McGriff, Seibels and Williams (“McGriff”).

40. On information and belief, for several months prior to their August 22 *en masse* and abrupt resignation from Wells Fargo, Defendants solicited each other to leave Wells Fargo to join a competitor, and to do so in a manner designed to make it exceedingly difficult if not impossible for Wells Fargo to fairly make its case to keep the mining insurance accounts that Defendants had been entrusted with. Defendants orchestrated their departures at a time when the renewals on most of their accounts were about to come due, and after they had carried out their plan for months to withhold material information from others at Wells Fargo that is pertinent to the policy renewals coming due. This information includes Confidential Information and Trade



Secrets, such as the status of discussions with clients and underwriters and updated client preferences and risk management strategies, which represent months of work and negotiations. Defendants were instructed by Wells Fargo training and policies to input this type of Confidential Information and Trade Secrets into the Salesforce.com system to track and retain this developing client information; Defendants did not do so. This “missing” Confidential Information and Trade Secrets regarding these expiring accounts is extremely valuable to Wells Fargo’s competitors (including McGriff) and Wells Fargo cannot reproduce them in time for the upcoming policy renewals.

41. Indeed, on or about August 26, Wells Fargo received a “BOR” (broker of record) form informing Wells Fargo that one of its former accounts, Cloud Peak Energy, Inc., had transferred its insurance account to McGriff. That BOR form is attached hereto as Exhibit D. The revenue lost as a result of losing the Cloud Peak Energy business alone far exceeds the \$75,000 jurisdictional threshold for this diversity action. The timing of the receipt of the Cloud Peak Energy BOR and the August 22 resignations of Defendants strongly suggests that Defendants solicited assurances from Cloud Peak Energy prior to August 22 that it would move its business to Defendants upon their departure from Wells Fargo.

42. Since resigning on August 22, Defendants have continued to solicit their former accounts. For example, Wong alone has contacted at least the following: ADA Carbon Solutions; GeoResources Risk Solutions; and Culligan International Company.

43. In soliciting their former accounts, Defendants have directly breached their non-solicitation agreements and necessarily have used, are using, and will continue to use Wells Fargo’s Confidential Information and Trade Secrets.

44. Moreover, Defendants took with them Wells Fargo's Confidential Information and Trade Secrets relating to their former accounts. On information and belief, they did not leave records reflecting that information with Wells Fargo.

45. On August 29, Wells Fargo sent letters to McQuate, Prouty, and Wong reminding them of their agreements with and obligations to Wells Fargo, instructing them to immediately cease and desist solicitation of Wells Fargo clients with whom they worked and use of Wells Fargo's Confidential Information and Trade Secrets in their work on behalf of McGriff, and requesting prompt assurances that they would comply with their agreements with and obligations to Wells Fargo. True and correct copies of these letters are attached hereto as Exhibits E (McQuate), F (Prouty), and G (Wong).

46. On September 3, McQuate, Prouty, and Wong each responded to Wells Fargo's August 29 letters. Each response indicated the Defendant intended to comply with his or her obligations to Wells Fargo, would not solicit business from the Wells Fargo clients with whom they worked while employed by Wells Fargo, will not solicit Wells Fargo employees, and will not disclose Wells Fargo's Confidential Information and Trade Secrets. Wong's response included a letter from Cloud Peak Energy stating that Wong did not solicit it. Copies of their responses are attached hereto as Exhibits H (McQuate), I (Prouty), and J (Wong).

47. In contrast to Defendants' responses, however, on September 3, another of Defendants' former accounts, Target Drilling Company, informed Wells Fargo that it had signed a BOR form that requires Wells Fargo to transfer the account to McGriff. A true and correct copy of the BOR form from Target Drilling Company is attached hereto as Exhibit K. The timing of the receipt of the Target Drilling Company BOR and the August 22 resignations of Defendants strongly suggests that Defendants solicited assurances from Target Oil prior to

August 22 that it would move its business to Defendants upon their departure from Wells Fargo. Further, the timing of the Target Drilling Company BOR strongly suggests that McQuate, Prouty, and Wong continue to solicit Wells Fargo clients and are necessarily using Wells Fargo's Confidential Information and Trade Secrets in doing so.

48. On September 9, Wells Fargo sent an email to Defendants acknowledging receipt of their respective September 3 communications and highlighting that—despite their representations that they would comply with their agreements with and obligations to Wells Fargo—another Wells Fargo account with whom Defendants worked while employed by Wells Fargo (and about whom Defendants possessed Wells Fargo's Confidential Information and Trade Secrets) had left Wells Fargo to work with Defendants at McGriff. A true and correct copy of this email is attached as Exhibit L. This correspondence also placed Defendants on notice of potential litigation and their obligations to preserve relevant evidence.

49. On or about September 11, Wells Fargo discovered that McGriff had, for the first time, opened an office in Denver. On information and belief, Defendants were hired to lead, develop, and grow McGriff's new office focusing on energy and mining insurance accounts—the very type of clients and prospective clients that they identified, sold to, worked with, and serviced on behalf of Wells Fargo.

COUNT ONE  
(BREACH OF CONTRACT)

50. Wells Fargo reincorporates and realleges paragraphs 1-49 as if set forth fully herein.

51. As reflected in Exhibits A, B, and C hereto, Defendants entered into contractual agreements with Wells Fargo. In those agreements, each promised to hold in

confidence and not use or disclose Wells Fargo's Confidential Information and Trade Secrets; and to return to Wells Fargo all documents or other tangible property relating to its business.

52. Wells Fargo provided valuable consideration to each Defendant for entering into his/her agreement.

53. Wells Fargo substantially performed its obligations under the agreements.

54. All conditions precedent to Defendants' respective obligations to perform under the agreements have been satisfied, waived, or have otherwise occurred.

55. Defendants each breached his/her obligations under their respective agreements by, among other things:

(a) Using and disclosing Wells Fargo's Confidential Information and Trade Secrets;

(b) Failing or refusing to return all documents or other tangible property relating in any way to Wells Fargo's business, particularly the information pertaining to Defendants' former accounts;

(c) Soliciting their former accounts to leave Wells Fargo; and

(d) Soliciting Wells Fargo employees to leave Wells Fargo and work for McGriff.

56. As a result of Defendants' breaches of their obligations under their agreements, Wells Fargo has suffered and will continue to suffer damages, including, but not limited to, loss of customers, loss of capital investment, loss of value of its business, loss of value of trade secrets, loss of profits, loss of customer relationships, and loss of current and future receivables in excess of \$75,000.00, in an exact amount to be proven at trial.

57. By their actions, including those described above, Defendants have breached their respective contracts in that each has or inevitably will use, disclose, disseminate and employ Wells Fargo's Confidential Information and Trade Secrets and solicit Wells Fargo's customers.

58. Defendants' breaches further injure Wells Fargo in that Defendants are able to unfairly benefit themselves and their new employer, McGriff, by using Wells Fargo's Confidential Information and Trade Secrets to target Wells Fargo's customers.

59. As a direct and proximate result of Defendants' actions, Wells Fargo has suffered and will continue to suffer monetary damages.

60. Moreover, unless enjoined, Defendants' conduct makes clear they intend to continue to retain, use, and disclose Wells Fargo's Confidential Information and Trade Secrets and also to solicit Wells Fargo's accounts and thus threaten irreparably to harm Wells Fargo's customer relationships, good will, and competitive position in the marketplace.

COUNT TWO  
(BREACH OF DUTY OF LOYALTY)

61. Wells Fargo reincorporates and realleges paragraphs 1-60 as if set forth fully herein.

62. By virtue of Defendants' positions as employees and agents of Wells Fargo in positions of trust and confidence, Defendants each owed a duty of loyalty to Wells Fargo. Their duty of loyalty included, among other things, an obligation for to inform Wells Fargo of all information pertinent to the accounts they handled on Wells Fargo's behalf, and to inform Wells Fargo of any efforts by McGriff (or by one another) to recruit Wells Fargo employees (including each other), an obligation to not

recruit Wells Fargo employees to leave the employment of Wells Fargo, and an obligation to not misappropriate Wells Fargo's Confidential Information and Trade Secrets.

63. On information and belief, Defendants breached their respective duties of loyalty to Wells Fargo by, among other things, recruiting each other to leave the employment of Wells Fargo, conspiring to leave Wells Fargo in such a way as to severely cripple Wells Fargo's ability to retain the accounts up for renewal, misappropriating Wells Fargo's Confidential Information and Trade Secrets, and engaging in other acts described above.

64. Defendants' respective breaches of their duty of loyalty has caused Wells Fargo damages in an amount to be determined at trial, including, but not limited to, all compensation paid by Wells Fargo to Defendants during the period each was breaching his/her duty of loyalty and the lost revenue from the Cloud Peak Energy account.

COUNT THREE  
(ACTUAL AND THREATENED MISAPPROPRIATION OF TRADE SECRETS)  
(UNIFORM TRADE SECRETS ACT—C.R.S. §7-74-101 *et seq.*)

65. Wells Fargo reincorporates and realleges paragraphs 1-64 as if set forth fully herein.

66. Defendants, as trusted employees and parties to the agreements requiring them not to use or disclose Wells Fargo's trade secrets, acquired Wells Fargo's trade secrets under circumstances giving rise to their knowing duty to maintain the secrecy of such information and limit its use solely for the benefit of Wells Fargo.

67. Defendants have actually misappropriated and threaten to continue to misappropriate Wells Fargo's trade secrets in violation of C.R.S §§ 7-74-102 and 103, which expressly prohibit the actual or threatened misappropriation of Wells Fargo's trade secrets.

68. Specifically, Defendants have, among other things:

- (a) Failed and refused to return Wells Fargo's trade secrets;
- (b) Maintained Wells Fargo's trade secrets after resigning from Wells Fargo;
- (c) Used, disclosed, and relied on Wells Fargo's trade secrets to (1) solicit Wells Fargo customers on behalf of its competitor, McGriff; (2) encourage Wells Fargo customers to move their business from Wells Fargo to McGriff; and (3) otherwise divert business of Wells Fargo away from Wells Fargo; and
- (d) Attempted to divert business away from Wells Fargo by soliciting, contacting, or communicating with Wells Fargo's customers.

69. The trade secret information misappropriated by Defendants has actual or potential economic value associated with not being generally known to the public or other persons who could obtain economic value from its disclosure or use.

70. Wells Fargo has taken reasonable means under the circumstances to maintain the secrecy of the information that Defendants misappropriated. Defendants, by virtue of their agreements and other limitations on access to the information, knew that the information was confidential.

71. Wells Fargo developed its trade secrets over a great period of time and at great expense.

72. Defendants have derived unjust economic benefits and enrichment from their misappropriation of Wells Fargo's trade secrets.

73. By virtue of the foregoing, Wells Fargo has been substantially damaged by its loss of at least one customer (so far), loss of capital investment, loss of value of its

business, loss of value of trade secrets, loss of profits, loss of good will, loss of customer relationships, and loss of current and future receivables in an amount to be proven at trial and in excess of \$75,000.00. In addition, Wells Fargo has incurred and will continue to incur additional damages, costs, and expenses, including attorneys' fees, as a result of Defendants' misappropriation. Moreover, unless enjoined, Defendants' misappropriation threatens to irreparably harm Wells Fargo through loss of its trade secrets and the competitive advantage it enjoys through them.

74. Defendants' foregoing conduct is causing and will continue to cause immediate, irreparable harm to Wells Fargo for which Wells Fargo has no adequate remedy at law. Pursuant to C.R.S. §§ 7-74-102 and 103, Wells Fargo is entitled to an injunction enjoining Defendants from (1) actually misappropriating Wells Fargo's trade secrets and (2) threatening to misappropriate Wells Fargo's trade secrets. This can only be accomplished by prohibiting Defendants from working for McGriff or, at a minimum, from contacting any of their former Wells Fargo customers or prospects. And, recognizing that C.R.S. §7-74-102 permits the Court to issue an injunction that requires affirmative acts, Defendants should be ordered to return all originals and copies of Wells Fargo's property to Wells Fargo.

75. Defendants' aforementioned acts were and are willful and malicious. Wells Fargo therefore is entitled to exemplary damages under C.R.S. §7-74-104(2).

76. Pursuant to C.R.S. §7-74-105, Wells Fargo is entitled to an award of attorneys' fees for Defendants' bad-faith misappropriation of trade secrets.



COUNT FOUR  
(UNFAIR COMPETITION)

77. Wells Fargo reincorporates and realleges Paragraphs 1-76 as if set forth fully herein.

78. Defendants intentionally sought to unfairly appropriate Wells Fargo's established goodwill and to divert Wells Fargo's customers.

79. Defendants' conduct, as alleged herein, was unethical, unscrupulous, unfair, and deceptive.

80. Defendants' conduct was an unfair method of competition and an unfair or deceptive act or practice.

81. Defendants' conduct evidences a reckless indifference to the rights of Wells Fargo and an intentional and wanton violation of those rights.

82. As a direct and proximate result of Defendants' actions, Wells Fargo has suffered and will continue to suffer monetary damages and irreparable harm.

COUNT FIVE  
(CONVERSION)

83. Wells Fargo reincorporates and realleges Paragraphs 1-82 as if set forth fully herein.

84. During the course of Defendants' employment with Wells Fargo, Defendants acquired Wells Fargo's Confidential Information and Trade Secrets, including as it relates to accounts whose policies are up for renewal. Defendants kept this information to themselves, and did not share it with others at Wells Fargo.

85. When they resigned, and on information and belief, Defendants took this information with them and did not leave it or tangible records reflecting this information behind at Wells Fargo. To date, Defendants have not returned that information to Wells Fargo

86. Defendants' actions have interfered with Wells Fargo's ownership rights in its Confidential Information and Trade Secrets.

87. As a direct and proximate cause of Defendants' actions, Wells Fargo has suffered and continues to suffer damages.

COUNT SIX  
(TORTIOUS INTERFERENCE WITH PROSPECTIVE BUSINESS ADVANTAGE)

88. Wells Fargo reincorporates and realleges Paragraphs 1-87 as if set forth fully herein.

89. Wells Fargo has and had business relationships with its customers as well as with its employees.

90. Defendants had knowledge of Wells Fargo's business relationships with its customers, particularly those customers serviced by Defendants, and with its employees.

91. Defendants had knowledge that each was subject to an agreement prohibiting solicitation of customers and employees and also prohibiting use or disclosure of Wells Fargo's Confidential Information and Trade Secrets for the benefit of anyone other than Wells Fargo.

92. Wells Fargo had a legitimate expectation of continued business opportunities with Cloud Peak Energy; and it has a legitimate expectation of continued business opportunities with the other accounts serviced by Defendants.

93. Wells Fargo also had a legitimate expectation of continued business opportunities with its employees, including Defendants.

94. Wells Fargo has and had a legitimate expectation that Defendants would not use its Confidential Information and Trade Secrets, as well as Defendants' influence and authority as Wells Fargo employees, to interfere with Wells Fargo's business relationships with its customers and employees.

95. Defendants have tortuously interfered with Wells Fargo's prospective business advantages with its customers and employees through wrongful means, including, among other acts, misappropriating Wells Fargo's Confidential Information and Trade Secrets, retaining and withholding Wells Fargo's Confidential Information and Trade Secrets after resigning from employment with Wells Fargo and commencement of employment with McGriff, using and disclosing Wells Fargo's Confidential Information and Trade Secrets to solicit Wells Fargo customers, encouraging Wells Fargo customers to discontinue doing business with Wells Fargo and to do business with McGriff instead, and by otherwise diverting business away from Wells Fargo.

COUNT SEVEN  
(INTENTIONAL INTERFERENCE WITH CONTRACTUAL RELATIONSHIPS)

96. Wells Fargo reincorporates and realleges paragraphs 1-95 as if set forth fully herein.

97. Wells Fargo has a legitimate business interest in its contractual and other business relationships with its current and former employees, including Defendants, and its clients, including Cloud Peak Energy and Target Drilling Company.

98. At all relevant times, Defendants had full knowledge of Wells Fargo's contractual and other business relationships with its employees and its clients.

99. The solicitation of one or more of Defendants by one or more of Defendants to work at McGriff has induced and/or will induce one or more Defendants to breach their agreements with Wells Fargo.

100. Such solicitations have interfered and disrupted and caused, and threaten to interfere and disrupt and to cause, one or more breaches of the contractual and other business relationships between Wells Fargo and its employees and clients.

101. The primary purpose of Defendants' conduct in soliciting each other and Wells Fargo's clients was and is to induce each other to breach their respective agreements with Wells Fargo and to interfere with, disrupt, and sever Wells Fargo's contractual and other business relationships with its clients.

102. Defendants' interference with Wells Fargo's contractual and other business relationships with its employees and clients was, is, and if not enjoined will be, improper, unjustified, willful, and in violation of Colorado common law and the ordinary norms of competitive conduct.

103. As a direct result of Defendants' actual and threatened conduct, Wells Fargo has been and will be damaged and irreparably harmed and is entitled to preliminary and permanent injunctive relief as well as such monetary or other damages as may be necessary to compensate Wells Fargo from the losses it incurs as a result of Defendants' wrongful conduct.

104. Wells Fargo has no adequate remedy at law and monetary damages alone are insufficient to address the injuries it has suffered and will suffer as a result of Defendants'

tortious interference with its contractual and other business relationships with its employees and clients.

COUNT EIGHT  
(CIVIL CONSPIRACY)

105. Wells Fargo reincorporates and realleges paragraphs 1-104 as if fully set forth herein.

106. Defendants have engaged in concerted action to cause each other to breach their duties of loyalty to Wells Fargo, to breach their contracts with Wells Fargo, to tortuously interference with Wells Fargo's prospective economic advantage as well as its contractual and business relationships with its employees and with its clients, to misappropriate Wells Fargo's Confidential Information and Trade Secrets, to unfairly compete with Wells Fargo, and to convert Wells Fargo's Confidential Information and Trade Secrets to their possession

107. Defendants' concerted action was and is being taken and, if not enjoined, will be undertaken for the unlawful purpose of causing economic and non-economic injury to Wells Fargo.

108. To the extent that Defendants' concerted action was and is being taken and, if not enjoined, will be undertaken for a lawful purpose, Defendants' concerted action seeks to achieve any such lawful purpose through unlawful means—namely, via the commission of the breaches of contract, violation of the Colorado Uniform Trade Secrets Act, and the common law torts outlined above.

109. Defendants' concerted action has caused, and unless enjoined will continue to cause, monetary damages and irreparable harm to Wells Fargo.

WHEREFORE, Wells Fargo requests the following relief:

- A. general, specific, incidental, and consequential damages in excess of \$75,000, with exact amounts to be determined at trial;
- B. exemplary and punitive damages according to proof at trial;
- C. attorneys' fees and costs of suit herein, including fees and costs pursuant to C.R.S. §7-74-105 and required by contract;
- D. preliminary and permanent injunctions requiring Defendants to refrain from using and/or disclosing all Confidential Information and Trade Secrets;
- E. preliminary and permanent injunctions requiring Defendants to refrain from working for McGriff, as such work necessarily threatens the use and/or disclosure of Wells Fargo's Confidential Information and Trade Secrets; or alternatively, to refrain from contacting any of Wells Fargo's customers and employees;
- F. preliminary and permanent injunctions enjoining Defendants from improperly soliciting Wells Fargo customers and prospective customer and requiring Defendants to immediately return and cease using all Wells Fargo Confidential Information and Trade Secrets and other Wells Fargo property;
- G. prejudgment and post judgment interest; and
- H. such other and further relief as the Court deems just and proper.

Respectfully submitted this 16th day of September, 2014.

*s/Timothy M. Kratz*

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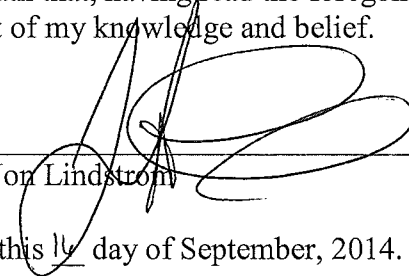
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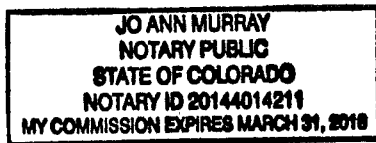
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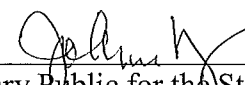
STATE OF COLORADO     )  
                                          ) ss  
COUNTY OF DENVER     )

I, JON LINDSTROM, certify under oath that, having read the foregoing, the facts set forth are true, accurate, and correct to the best of my knowledge and belief.

  
\_\_\_\_\_  
Jon Lindstrom

SUBSCRIBED AND SWORN before me on this 16 day of September, 2014.



  
\_\_\_\_\_  
Notary Public for the State of Colorado

Residing at: 5053 McClure Ln Castle Rock, CO 80108

My Commission expires: March 31, 2018